

Table K.1: The signal rebuilt on term-premium-stripped slopes. Each country’s 10Y–2Y slope is stripped of its fitted exposure to the U.S. ACM slope term premium, the IYC rule is rebuilt on the stripped slopes and lagged one month, and the rebuilt state is split by the downcurve regime. Cells are state regressions $y_t = a + b \mathbf{1}\{\text{state}\}_{t-1} + e_t$ of the carry and high-beta portfolios’ spot and total returns (annualized, %/yr) against all other months; the wedge row is the within-signal regression of the return on the downcurve dummy on the rebuilt state’s months. Wild cluster bootstrap p on the state’s runs in brackets ($B = 9,999$), stars by that p ; 1988:01–2026:02.

State	Carry, spot	Carry, total	High-beta, spot	High-beta, total
Baseline signal	−12.85*** [0.001]	−11.31*** [0.003]	−7.53*** [0.010]	−6.82** [0.013]
Stripped signal	−5.42 [0.107]	−4.07 [0.251]	−6.17*** [0.004]	−5.66*** [0.008]
non-downcurve months	−7.68* [0.094]	−7.03 [0.142]	−10.27*** [0.000]	−10.28*** [0.000]
downcurve months	+1.56 [0.621]	+3.81* [0.059]	+5.00** [0.026]	+6.36** [0.012]
downcurve wedge	+7.64 [0.149]	+9.18* [0.094]	+12.89*** [0.007]	+14.16*** [0.004]